BOARD OF CBA

MINUTES
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Refinancing Rate for October of 2012

The 9th of October 2012 CBA Board Meeting attended by Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Artur Stepanyan, Armenak Darbinyan and Oleg Aghasyan.

The Board Meeting opened with presentation of Situation Report as of end-September and addressed current developments on inflation, external environment and real, fiscal and monetary sectors.

There was 0.8 percent of inflation recorded in September, and the 12-month inflation remained the same, 2.5 percent, which is the lower border of the confidence band. In September too, the monthly inflation was driven by increased food prices (with 0.53 pp of contribution to headline inflation). Items “vegetable and potato” and “bread products” reported price increases of 10.7 percent and 1.6 percent, with their contribution making up 0.67 pp and 0.17 pp, respectively. Core inflation in September was 3.1 percent.

In the period January-July of 2012, relative to the previous reference period, the Economic Activity Indicator has been 8.3 percent. Based on the last 8 months’ results, growth of economic activity exceeded expectations mostly owing to output volumes reported in industry and agriculture, having increased by 13.2 percent and 10.8 percent, respectively. The growth of output in construction and services by 1.9 percent and 5.6 percent was mainly in line with the forecasts.

In the period January-August of 2012, relative to the previous reference period, external trade turnover indicators were as follows: export (trade statistics – FOB) and import (trade statistics – CIF) have increased by 11.4 percent and 3.6 percent, respectively. Private remittances of individuals have grown in the meantime by 8.4 percent y-o-y.

The third quarter results suggest that private consumption growth rates will remain strong, 7.8 percent, whereas private investment growth rates are expected to decelerate to 3.8 percent. The fiscal policy’s impact on aggregate demand is estimated as contractionary, which will somehow offset the inflationary pressures from private consumption.

In the financial market in September, monthly interest rates performed mainly stably and even trended down. As a result, average interbank repo rate amounted to 9.43 percent compared to the previous month’s 9.91 percent; market rate of treasury bills with up to 1-year of maturity made up 9.43 percent against 9.42 percent; interest rate of stock exchange-traded interbank loans reached 8.1 percent versus 8.0 percent recorded in the previous month.

In the foreign exchange market in September, the dram exchange rate performed as follows: relative to the previous month’s average, the dram appreciation versus the U.S. dollar was 0.5 percent to AMD 408.6; it however depreciated versus Euro by 2.9 percent to AMD 524.5 and versus Ruble by 1.0 percent to AMD 13.0.

The monetary policy in September was mainly in line with the baseline scenario as outlined in Q3 2012 Program. The monetary indicators performed as follows: the 12-month growth of broad money and dram broad money were 23.6 percent and 16.9 percent, respectively; the y-o-y growth of dram deposits and foreign currency deposits were, respectively, 22.4 percent and 32.7 percent (or 21.6 percent when impact of the exchange rate is excluded). Growth rates of lending to the economy remained strong in September, 31.7 percent y-o-y, in which structure loans in foreign currency again prevailed.

In September of 2012 some minor inflationary pressures were observable in main commodities and food markets in the world, on the whole.

In the third quarter, relative to the second quarter, the average price of "Brent" crude oil has increased by 0.9 percent (with y-o-y decrease making up 2.2 percent). In September the price of gold grew by 7.1 percent (with y-o-y decrease of 1.5 percent), and the copper price went up by 7.6 percent (with y-o-y decrease of 14 percent).

In September the Food Price Index of FAO rose by 1.4 percent against the previous month's index (mainly attributable to increased meat and dairy product prices), under which circumstance the Index is still on a decline path, 4 percent. Driven by supply factors, the price of wheat reported as much as 30 percent rise during the third quarter (with y-o-y growth of 10.7 percent), which was most pronounced in the first two months of the quarter while in September it mainly stabilized, having grown by merely 1 percent. In September the sugar and rice prices fell by 5.0 percent and 4.5 percent, respectively (relative to the same reference period of the previous year the decline has been 29.7 percent and 9.3 percent, respectively).

The third quarter of 2012 was marked by certain policy measures to stimulate economic growth and tackle debt problems. In particular, the U.S. Federal Reserve Fund exercised QE3 by further keeping interest rates low for another year, up until 2015. Similarly, the European Central Bank made a decision to buy bonds, on special terms, from secondary markets of debt-hit countries.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

The Board admits that uncertainties over political solutions to debt problems are persisting in spite of policy measures taken by the Fed and the ECB, under which circumstance the global demand will be weak in the forecast horizon. Fundamental tightness and minor inflationary environment are still on hold in global food markets due to continued rise in wheat prices. The latter's influence on domestic prices was felt in September, too, pushing prices in item "bread products" up.

The Board evaluates that the impact of developments in the Armenian economy on domestic prices is predicted to be inflationary in the forecast horizon, which is determined by persistently high consumption rate and faster-than expected growing economy. The impact of the aforementioned inflation factors on domestic prices will be somehow offset by contractionary impact of the fiscal policy.

Though the 12-month inflation keeps closer to the lower border of the confidence band, some inflationary pressures from external sector and domestic economy on domestic prices will be observable in the forecast horizon however. This prompts the Board to maintain the refinancing rate at the current level while believing that the

12-month inflation is really possible to push closer to the confidence band of 4% $\pm$ 1.5 pp in the forecast horizon.

In the 9th of October 2012 meeting the Board left the Refinancing Rate unchanged, at the 8.0 percent level; the Lombard Repo Rate and Deposit Facility Rate were left at 10 percent and 6 percent, respectively.